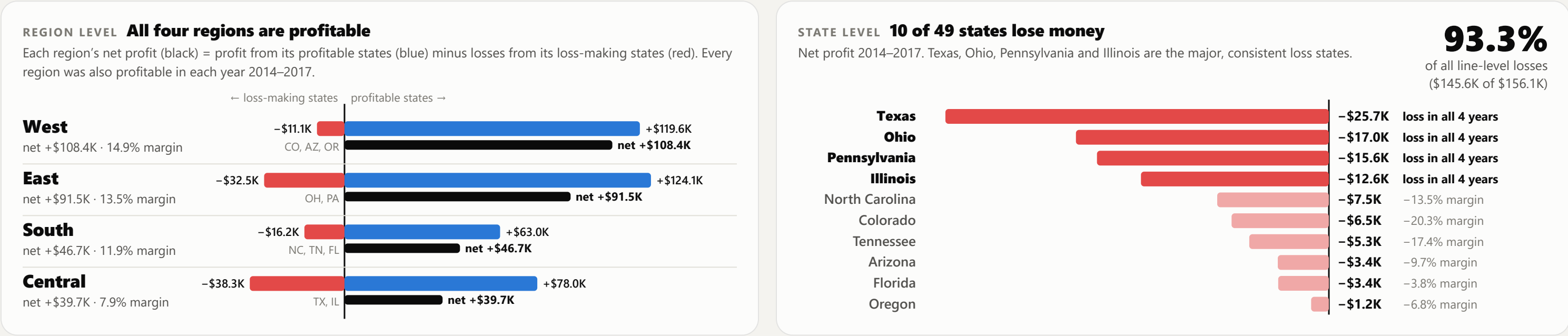


Are there specific geographic regions that consistently operate at a loss?

FINDING

No region operates at a loss — all four regions are profitable — but losses are concentrated at the state level: 10 states account for 93.3% of line-level losses, led by Texas, Ohio, Pennsylvania and Illinois, and losses are concentrated where deeper discount rates are present.



Losses are concentrated where deeper discount rates are present

Each cell: the state's fixed discount rate for that sub-category (shade + left number, same every year) and net profit 2014–2017 (right). Red dot = loss.

	Binders	Tables	Machines	Bookcases	Chairs	Appliances	Furnishings	Phones	Paper
10 LOSS-MAKING STATES									
Texas	80% -\$14.7K	30% -\$2.2K	40% -\$2.7K	32% -\$2.4K	30% -\$2.5K	80% -\$6.1K	60% -\$3.3K	20% \$3.2K	20% \$2.4K
Ohio	70% -\$1.4K	40% -\$2.7K	70% -\$11.8K	50% -\$1.4K	30% -\$649	20% \$486	20% \$517	40% -\$2.8K	20% \$744
Pennsylvania	70% -\$4.6K	40% -\$2.6K	70% -\$2.2K	50% -\$2.9K	30% -\$2.0K	20% \$694	20% \$282	40% -\$3.6K	20% \$813
Illinois	80% -\$7.2K	50% -\$4.3K	30% \$326	30% -\$556	30% -\$1.6K	80% -\$2.5K	60% -\$2.6K	20% \$1.7K	20% \$1.2K
North Carolina	70% -\$2.0K	40% -\$3.7K	50% -\$5.4K	20% -\$98	20% \$143	20% \$486	20% \$153	20% \$860	20% \$899
Colorado	70% -\$379	50% -\$975	70% -\$4.4K	70% -\$2.4K	20% \$557	20% \$141	20% \$144	20% \$523	20% \$299
Tennessee	70% -\$3.6K	40% -\$2.7K	50% -\$274	20% -\$6	20% \$150	20% \$203	20% \$311	20% \$305	20% \$364
Arizona	70% -\$1.6K	50% -\$2.3K	70% -\$931	70% -\$869	20% \$122	20% \$83	20% \$285	20% \$819	20% \$842
Florida	70% -\$2.8K	45% -\$2.5K	50% -\$2.0K	20% -\$116	20% -\$38	20% \$350	20% \$392	20% \$1.4K	20% \$833
Oregon	70% -\$199	50% -\$1.0K	70% -\$274	70% -\$617	20% \$106	20% \$54	20% \$72	20% \$248	20% \$324
LARGEST PROFITABLE STATES, FOR CONTRAST									
California	20% \$10.0K	20% -\$304	20% \$4.2K	15% \$1.4K	20% \$2.4K	0% \$7.0K	0% \$5.6K	20% \$6.3K	0% \$8.0K
New York	20% \$11.1K	40% -\$4.5K	0% \$17.3K	20% \$351	10% \$7.1K	0% \$3.8K	0% \$2.9K	0% \$13.4K	0% \$4.0K
Washington	20% \$6.1K	0% \$4.9K	20% \$615	0% \$570	20% \$693	0% \$592	0% \$1.1K	20% \$699	0% \$1.6K

Discount rate:

0%

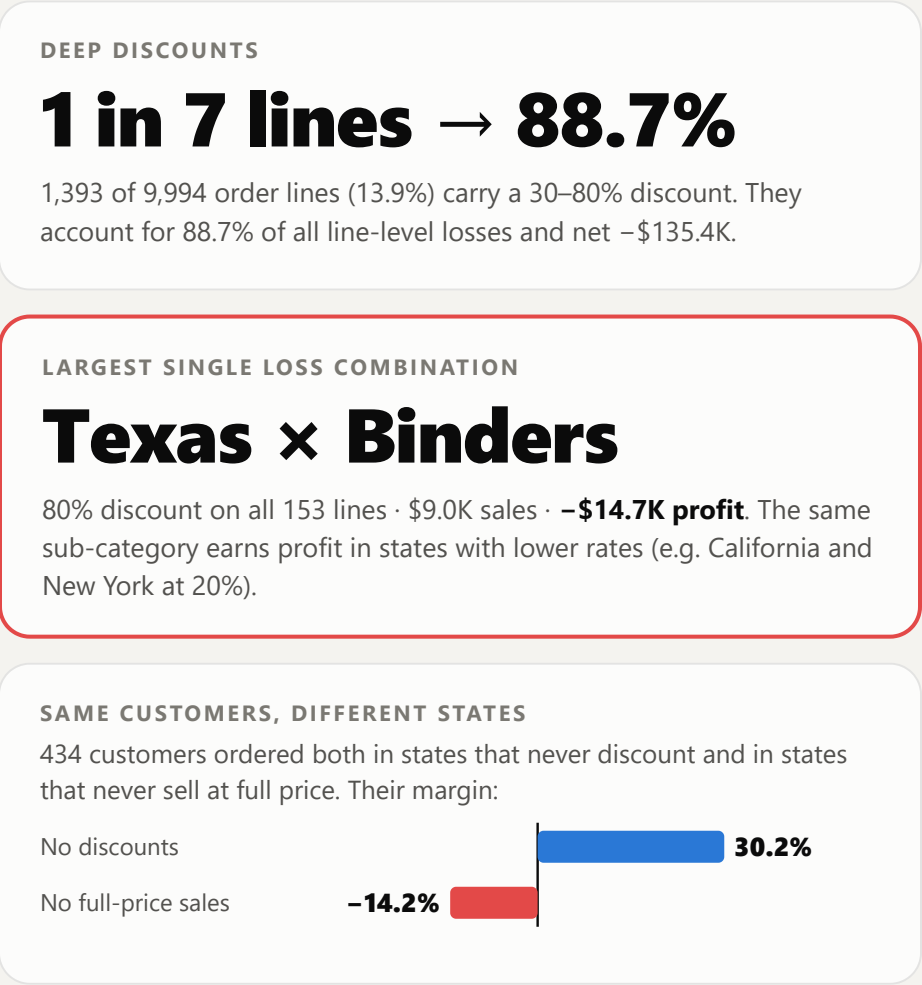
20%

30%

50%

80%

 cell lost money
 — no sales



Region vs. state. REGION = the dataset's four company-defined regions (Central, East, South, West). STATE = the 49 states (incl. DC) inside them; each state belongs to one region. **Method.** Line-level losses = total profit of order lines with negative profit (-\$156.1K). "Loss in all 4 years" = negative net profit in each of 2014, 2015, 2016 and 2017; yearly results for the smaller loss states are too noisy to call consistent. Same-customer margins compare each customer's orders shipped to the 21 states with no discounted lines vs. states with no full-price lines. **Data:** Sample - Superstore.csv, 9,994 order lines. The discount structure is highly rule-generated; findings describe this dataset, not real-world retail behavior. Patterns are associations, not evidence that discounts cause losses.